

IN THE SUPREME COURT OF PAKISTAN
(Appellate Jurisdiction)

Present:

Mr. Justice Yahya Afridi, HCJ
Mr. Justice Muhammad Shafi Siddiqui
Mr. Justice Miangul Hassan Aurangzeb

Civil Petition No. 3755 of 2022

(Against Judgment dated 15.09.2022 of
Peshawar High Court, Peshawar passed in
W.P No.19-P of 2022)

Muhammad Arif Khan.

... *Petitioner*

Versus

*Collector Customs Model Customs Collectorate
(Enforcement & Compliance) Customs House,
Jamrud, Road, Peshawar and another.*

... *Respondents*

For the Petitioner:

Mr. Farhat Nawaz Lodhi, ASC.
Mr. Syed Rifaqat Hussain Shah, AOR.

For the Respondents:

Mr. Abdul Rauf Rohaila, Sr. ASC.
Mr. Usman Aziz, Dy. Collector, Customs
(through video-link from Peshawar)

For the Department:
Customs

Mr. Saeed Akram, Member (Legal)

Mr. Ashraf Ali, Chief Legal, Customs.
Mr. Amanat Kha, ADC.
Mr. Aftab Alam, Inspector.

Date of Hearing:

25.09.2025.

ORDER

Muhammad Shafi Siddiqui, J. We have heard the learned counsel for the parties and perused the material available on record.

2. The record reflects that the petitioner presented his claim for recovery of sale proceeds of the Black Tea on 22.01.2021 with the Collector of Customs Preventive, MCC, Peshawar. In the said letter the petitioner claimed the sale proceeds of the "Tea" in question as under:

Therefore, the Customs Staff seized the alleged foreign origin smuggled black tea alongwith the said vehicle in terms of Section 168 of the Customs, Act 1969 for offending the provisions of Sections 2(s), 16 & 157 of the ibid Act read with Section 3(1) of the Imports and Exports (Control) Act, 1950 punishable under Section 156(1)(8)(89) of the Customs Act, 1969 read with Section 3(3) of the Imports and Exports (Control) Act, 1950. After completion of necessary formalities, the case was placed before the Deputy Collector Customs, Anti-Smuggling Division, Customs Peshawar, who vide Order-in-Original No.123 of 2011 dated 19.08.2011 confiscated the seized black tea and released the vehicle on Bank Guarantee LG No. 20/2011 dated 09.03.2011 of Rs. 1,30,000/-

3. The sale proceeds were being claimed in terms of section 169(5) of the Customs Act, 1969 (hereinafter referred to as "the Act") which provides that if on such adjudication or in an appeal or proceedings in court, the goods sold is found not to have been liable to such confiscation, the entire sale proceeds, after necessary deduction of duties, taxes or dues as provided in section 201 of the Act, shall be handed over to the owner. The petitioner is yet to obtain such declaration or findings of the court on adjudication and has directly jumped to claim the sale proceeds of confiscated goods. The judgment passed in reference jurisdiction (Custom reference No. 27-P of 2018) is the conclusive test as to the seizure and confiscation of the goods. Such findings were challenged before this Court in Civil Appeal No.176 of 2020 which was dismissed.

4. Thus, in order to have the benefit of the sale proceeds under the Customs Act, the declaration of being an owner of wrongly seized / confiscated goods is inevitable. This could only be passed on to the owner if the owner, was able to establish either on adjudication, appeal or proceedings in court that the goods sold are not liable to such confiscation.

5. This being the situation the CPLA merits no consideration is, accordingly, dismissed and leave to appeal is refused.

Chief Justice

Judge

Judge

Islamabad:
25.09.2025

Approved for Reporting
(Asif Bhatti)